

Policy Memo

To: Minister of Agriculture and Forestry (MAF), Lao PDR

From: Policy Advisor, Agricultural Economic Security Unit, MAF

Date: 15 September 2026

Subject: [Important] Securing fertiliser supplies for the next planting season

Dear Sir,

I wish to refer to the above subject.

2. I am writing to you to seek your **authorisation for a temporary fertiliser-security programme before the next major planting season**. [Operation Economic Outcast](#) (OEO) does not directly block Laos's fertiliser imports, but it can amplify an existing Gulf supply shock by increasing sanctions screening, payment and shipping risk. Laos should therefore aggregate only essential demand, procure from several qualified suppliers, maintain a small rotating reserve, and provide time-limited vouchers or seasonal credit to vulnerable smallholders. This targeted response protects crop production without the fiscal cost and market distortion of a universal subsidy.

Background

3. Laos' recorded fertiliser imports are exceptionally concentrated. In 2024, China and Thailand supplied more than [99.9% of the approximately USD179 million total](#). Thailand is not a fully independent alternative: the [World Trade Organization](#) (WTO) estimates that the Gulf supplied close to half of Thailand's imported nitrogen fertiliser. Laos could diversify – Vietnam supplied USD39.9 million, or about 30.2% of Lao imports, in 2022 – but Vietnam was no longer a material recorded supplier by 2024.

4. The immediate trigger is a layered disruption, not a deliberate embargo on Laos. The Gulf conflict has already constrained fertiliser shipments through the Strait of Hormuz. The WTO reports that outbound fertiliser-related shipments through the Strait fell close to zero, urea briefly more than doubled from about USD400 to above USD850 per tonne, and subsequent export controls potentially affected up to 15% of world fertiliser trade. OEO, announced on 24 August 2026, widens potential secondary-sanctions exposure in shipping and accelerates enforcement against Iran-related financial channels. Banks, insurers, shippers or Thai importers may consequently increase compliance checks, decline higher-risk transactions or charge more. Exporting governments may also license or restrict sales to protect domestic farmers. Any of these events could raise Thai or Chinese prices, delay deliveries to Laos or reduce available volumes.

Analysis

5. Fertiliser is unusually time-sensitive. Importers cannot switch suppliers instantly: they need contracts, product verification, foreign-currency financing and dependable overland transport. A cargo arriving after the crop's application window cannot recover the lost yield. The private market also carries too little emergency stock because distributors bear the financing, storage and deterioration costs while farmers and consumers receive much of the wider food-security benefit. When prices rise, cash-constrained smallholders may rationally reduce fertiliser use, but their combined response lowers production and rural income and can raise food prices.

6. The OEO threat does not require deliberate action against Laos. During a regional shortage, China or Thailand may prioritise domestic demand, leaving Laos particularly exposed because of its limited supplier base and weaker purchasing power. Policy should therefore focus on ensuring timely access to essential fertiliser for priority farmers, rather than attempting to shield Laos from all global price fluctuations.

Options

7. The Agricultural Economic Security Unit has come up with three options for your consideration:

- a. The first option is to **continue relying on private importers**. This would avoid new public expenditure and allow firms to choose suppliers according to price. It works for normal fluctuations but does not address the central problem. Importers may have too little stock when a disruption begins, may serve larger buyers first and may need more time to establish new supply routes than the planting calendar permits. The government would save money initially but could later face higher food-support and rural-recovery costs.
- b. The second option is to provide a **universal subsidy and impose a retail price ceiling**. Under this approach, the government would compensate importers or dealers for selling fertiliser to all farmers at a fixed price below market. [Food and Agriculture Organization of the United Nations \(FAO\) review of India](#) explains this mechanism. The policy would be highly visible, easy to explain and could help sustain fertiliser use, provided sufficient supplies remain available. However, it would also subsidise farmers who can afford market prices, while larger farms would receive the greatest total benefit because they purchase more fertiliser. If government payments do not fully or promptly cover rising import costs, dealers may reduce imports or withdraw from the market, worsening shortages. The lower price could also

encourage excessive purchasing, hoarding and illegal resale. Once introduced, the subsidy may be politically difficult and fiscally costly to remove.

- c. The third option is to **pool essential demand, diversify suppliers and maintain a small rotating reserve** for critical periods. Targeted vouchers or seasonal credit would protect smallholders without subsidising all purchases. [FAO work in sub-Saharan Africa](#) identifies vouchers as a way to target intended farmers and enable private dealers to participate; meanwhile, an [International Food Policy Research Institute](#) (IFPRI) assessment of Kenya likewise finds that voucher-based approaches can improve fertiliser access and take-up while reducing crowd-out. Although this option requires reliable demand estimates, transparent procurement and disciplined stock management, these risks are more manageable than the costs and distortions of a universal subsidy.

Recommendation

8. **I recommend the third option for an initial period of two planting seasons.** Within 30 days, the Ministry should ask provincial agriculture offices to estimate essential fertiliser requirements by crop, location and application date, with priority given to staple foods and vulnerable communities. The Ministry should aggregate only the portion of demand needed for food-security protection, leaving normal commercial purchases to private importers.

9. The Ministry should then issue an open tender to qualified suppliers in China, Thailand, Vietnam or other qualified sources. Contracts should specify product standards, delivery dates and penalties for non-performance. The buffer should cover only a short interruption during the most critical application period. Stocks should be sold into the normal market and replaced on a fixed schedule so that the reserve does not deteriorate or become a permanent fiscal burden.

10. Support to farmers should be targeted through time-limited vouchers or government-backed seasonal credit, using farm size, crop type and household vulnerability as eligibility criteria. This follows FAO and IFPRI evidence that targeted vouchers can protect access while preserving private distribution better than universal subsidies. The Ministry should also monitor border delays, supplier quotations, importer inventories, exchange-rate movements and planting demand. Published thresholds should determine when reserve stocks are released, reducing the scope for discretionary or politically influenced distribution.

11. **A review after the second planting season** should be conducted. Continuation should depend on whether the programme improved on-time availability, reached priority smallholders, limited stock losses, and remained within its approved budget.

12. I further recommend using the two-season programme to **support longer-term nutrient security** through soil testing and crop-specific advice, feasible domestic blending, and greater use of locally available organic inputs. [FAO evidence from Laos](#) shows that balanced nutrient and soil management can improve fertility and yields. These reforms can reduce waste and import dependence over time but cannot replace imported mineral fertiliser before the next planting season.

13. The above is for your kind attention and approval, please.

Thank you.